



Merchants of East and West

24 Business Principles That Haven't Changed in 2,500 Years

东西方商人 24 条生意经 · 2500 年没变的规律

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HOW TO USE THIS BOOK

24 principles, 48 merchant stories

- Each principle pairs one merchant from the East with one from the West: what they did, one line from a primary or early source, its reference and a reliability rating.
- The Austrian reading is one lens only; one line from another school follows so you can judge for yourself.
- "Use it today" gives general business practice only. No timing, no securities, no investment advice.
- Every merchant has a matching video on YouTube; read first, then watch.
- Read in order, or jump to the principle that matches the problem in front of you.

History and business principles only. Not investment advice of any kind.

This book covers history and business principles only. It recommends no stock, fund, crypto asset or other financial product, predicts no prices and gives no timing. The merchants here did right and wrong, including illegal, violent and exploitative things; quoting them is not endorsement.

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- Foreign-language quotes are kept in the original; the gist that follows is our own translation. Chinese classical quotes are given in our own English translation.
- Reliability: ★★★ official history, the person's own words or an official record; ★★ later accounts, encyclopedias, biographies; ★ doubtful or largely legend. ★ material is not presented as fact, only as illustration.
- Where modern research disagrees with an old source on a date or figure, a note says so; we never change the source's words.

On the Rothschilds: the family has long been the target of antisemitic conspiracy myths. This book quotes only factual entries in the 1905 Jewish Encyclopedia and the 1911 Encyclopaedia Britannica and does not repeat debunked tales such as the Waterloo story.

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I

Cycles and timing

Ji Ran / John Law · Bai Gui / J. P. Morgan · Bai Gui / Richard Cantillon · Zigong / Cornelius Vanderbilt · Fan Li / Andrew Carnegie

PRINCIPLE 01 · Cycles and timing

Extremes reverse

> **What is dearest turns cheap and what is cheapest turns dear; the peak of a frenzy is usually the turning point.**



East **Ji Ran**

Late Spring and Autumn, state of Yue

Adviser to King Goujian of Yue; his short set of trading rules was later used by Fan Li to run his own business.

“贵上极则反贱，贱下极则反贵。”

Gist: When the price is dearest it turns cheap; when it is cheapest it turns dear.

Source: Sima Qian, Shiji (Records of the Grand Historian), ch. 129, Biographies of the Money-makers (《史记·货殖列传》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/xh9u-mRDxoc



West **John Law**

1716–1720, Paris

A Scot who ran a note-issuing bank and a trading monopoly in France; the company's shares peaked in 1719 and then

collapsed.

> *“In December 1719 it was at its height. The shares had then amounted to 20,000 livres, forty times their nominal price. A sort of madness possessed the nation. Men sold their all and hastened to Paris to speculate.”*
>
> Source: 1911 Encyclopædia Britannica, 'Law, John' (Vol. 16, by Francis Watt) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/h2YUJ7sRSGw

An Austrian reading (one lens)

prices are signals between buyers and sellers. A flood of credit and paper money amplifies and distorts those signals; people mistake them for real demand, and the fall after the peak liquidates the mistakes.

Another view: Keynesians stress swings in demand and confidence, and argue that after a crash the state should stabilise demand rather than wait for the market to clear.

Use it today

Keep a sensible price band for what you sell and buy. When a market runs unusually hot, check that the orders are real before you expand.

Note: The 1911 Britannica figure of 20,000 livres is higher than most modern estimates.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 02 · Cycles and timing

Take what others discard, supply what others grab

> **Take up what others are dumping and supply what others are scrambling for, provided you really have the reserves.**



East **Bai Gui**

Warring States, time of Marquis Wen of Wei

He bought grain at harvest and sold silk and lacquer, then bought silk when cocoons came in and sold grain. Sima Qian called him the founder of the art of making a living.

“故人弃我取，人取我与。”

Gist: So when others discard, I take; when others take, I give.

Source: Sima Qian, Shiji (Records of the Grand Historian), ch. 129, Biographies of the Money-makers (《史记·货殖列传》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/uLmBWmJJ7sQ



West **J. P. Morgan**

1907, New York

In the panic of 1907, call-money rates hit 125 per cent as everyone pulled cash; Morgan and the Exchange president got the banks to release $25 million.

> *“On Thursday, October 24th, panic swept over the Stock Exchange. … brought the rate for Stock Exchange demand loans up to 125 per cent.; before the day was over, however, personal intervention of the president of the Stock Exchange and of Mr. J. P. Morgan with the banks caused release of $25,000,000”*
>
> Source: Alexander Dana Noyes, Forty Years of American Finance (New York: Putnam, 1909), Internet Archive OCR (fortyyearsofamer00noyeuoft), excerpts 1895/1901/1907 · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/NpiFyxMdu-g

An Austrian reading (one lens)

having spare money when others panic comes from spending less and saving more in normal times. Savings are what makes counter-cyclical action possible.

Another view: after 1907 the US created the Federal Reserve; the mainstream view is that a lender of last resort should be a public body, not a private banker.

Use it today

Prepare in the off season, the unfashionable category or the job nobody wants, and keep enough cash so that you can take on work when others pull back. (Business practice, not investment advice.)

Medium pairing: Bai Gui traded goods while Morgan marshalled bank money; what they share is acting against the crowd. In 1907 the clearing house, the Treasury and other bankers also helped, so the rescue was not Morgan's alone.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 03 · Cycles and timing

Watch where change arrives first

> **A change never reaches everyone at once; see where it starts and which way it travels.**



East **Bai Gui**

Warring States, time of Marquis Wen of Wei

His contemporary Li Ke worked to squeeze the most out of the land; Bai Gui instead watched how the times were changing.

“李克务尽地力，而白圭乐观时变”

Gist: Li Ke strove to get the most from the land, while Bai Gui delighted in watching the changes of the times.

Source: Sima Qian, Shiji (Records of the Grand Historian), ch. 129, Biographies of the Money-makers (《史记·货殖列传》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/uLmBWmJJ7sQ



West Richard Cantillon

Early 18th century, Paris and London

A merchant banker in Paris who wrote the Essay on the Nature of Trade. He asked who gets new money first, and how it then raises prices step by step.

> *"le Propriétaire de ces Mines, les Entrepreneurs, & tous ceux qui y travaillent, ne manqueront pas d'augmenter leurs dépenses à proportion des richesses & des profits qu'ils feront"*
>
> Gist: The owner of the mines, the entrepreneurs and everyone working there will not fail to raise their spending in proportion to the wealth and profits they make.
>
> Source: Cantillon, Essai sur la nature du commerce en général (1755), II.6 · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/w7vWXLMW4zk

An Austrian reading (one lens)

this is what later writers call the Cantillon effect. New money enters at one point; those near it gain first, while people on fixed incomes far from it feel the higher prices last.

Another view: monetarists focus on the link between the money supply and the overall price level, and treat the distribution path as less important in the long run.

Use it today

When new money, a new policy or a new platform enters your trade, first ask who receives the money and traffic first, then decide where you stand.

Medium pairing: Cantillon is quoted as a theorist, not for a trade he made. The story that he grew rich from John Law's scheme is recorded by the DNB only as a story told by Grimm (★).

History and business principles only. Not investment advice of any kind.

PRINCIPLE 04 · Cycles and timing

Move your goods with the times

> **When the times change tools, switch early, even at a short-term cost.**



East Zigong

Late Spring and Autumn, disciple of Confucius

A disciple of Confucius who traded between the states of Cao and Lu and became the richest of the seventy disciples.

> “子贡好废举，与时转货赀。”
>
> Gist: Zigong was good at buying low and selling high, moving his goods as the times changed.
>
> Source: Sima Qian, Shiji, ch. 67, Biographies of the Disciples of Confucius (《史记·仲尼弟子列传》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/sDdC8PoWkXY



West Cornelius Vanderbilt

19th century, New York

He was clearing about $3,000 a year with sailboats, yet took a $1,000-a-year job captaining someone else's steamboat because he saw steam coming.

“though Vanderbilt had been clearing $3,000 a year by luffing and tacking, he now accepted $1,000 a year as captain of that diminutive steamboat”

Source: W. A. Croffut, The Vanderbilts and the Story of Their Fortune (Chicago: Belford, Clarke, 1886), Internet Archive OCR text · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/Pt46tWaET18

An Austrian reading (one lens)

the entrepreneur's job is to judge future demand under uncertainty. Giving up income now to learn a new technology is a capital decision that invests time.

Another view: Schumpeter also stressed the entrepreneur but called the change creative destruction, putting more weight on its damage to old trades and jobs.

Use it today

Watch for whatever is replacing the core tool of your trade and spend part of your time and income learning it early. Being right once does not make you right next time.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 05 · Cycles and timing

Choose people, ride the times

> **Good managers follow the times instead of blaming people; read the trend, then pick the right people.**



East **Fan Li**

Late Spring and Autumn, Tao

After helping Yue conquer Wu he left office and traded at Tao, making a fortune three times in nineteen years. Sima Qian summed up his method as keeping pace with the times.

“与时逐而不责于人。故善治生者，能择人而任时。”

Gist: He moved with the times and did not make demands of people. So those good at making a living can choose people and ride the times.

Source: Sima Qian, Shiji (Records of the Grand Historian), ch. 129, Biographies of the Money-makers (《史记·货殖列传》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/8UlRoj6NeTk



West Andrew Carnegie

19th century, Pittsburgh

A Scottish weaver's son who started as a telegraph clerk; in his autobiography he says he saw early that the Bessemer process would make steel replace iron.

> *"I had not failed to notice the growth of the Bessemer process. If this proved successful I knew that iron was destined to give place to steel; that the Iron Age would pass away and the Steel Age take its place."*
>
> Source: Autobiography of Andrew Carnegie (Boston: Houghton Mifflin, 1920), Project Gutenberg #17976 · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/_z3ZMc3S1Wo

An Austrian reading (one lens)

no one holds all the information, so trends are read by many entrepreneurs separately. Profit rewards the right call and loss corrects the wrong one.

Another view: advocates of industrial policy argue that the state can plan and speed up transitions in base industries like steel instead of leaving them to private judgement.

Use it today

Once a year, ask what material, tool or channel your trade is switching to. If you are unsure, bring in someone who knows rather than carrying it alone.

Note: People died in the Homestead strike of 1892; Carnegie wrote that labour generally held him responsible.

History and business principles only. Not investment advice of any kind.

II

Information and position

Xian Gao / Nathan Rothschild · Fan Li / Cornelius Vanderbilt · Lü Buwei / Jakob Fugger

PRINCIPLE 06 · Information and position

Get the news to those who must know

> **When news changes everything, get it to the people who must decide before you think of using it yourself.**



East **Xian Gao**

Spring and Autumn, 627 BC

A merchant from Zheng driving cattle to market ran into a Qin army sent to attack Zheng. He offered the cattle to stall them and, at the same time, sent a rider home with warning.

“且使遽告于郑。”

Gist: And he sent a rider at full speed to warn Zheng.

Source: Zuo Zhuan (Zuo Tradition), Duke Xi, years 32–33 (《左传·僖公三十三年》（含僖公三十二年传）) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/dTXHsQ3QZvQ



West Nathan Rothschild

1815, London

When his agent brought the news of Waterloo to London, he passed it straight to the British government.

> *"Rothschild immediately transmitted the intelligence to the government; this shows that the tradition that he gained largely by keeping the news secret is entirely mythical"*
>
> Source: Jewish Encyclopedia (1901-1906), Vol. 10 (1905), 'Rothschild' (by Joseph Jacobs), jewishencyclopedia.com transcription · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/YEFU9f-R4RM

An Austrian reading (one lens)

Hayek saw the market as a way of passing on dispersed knowledge. Passing on key information quickly and truthfully, so others can adjust, is a contribution in itself.

Another view: information economics (Akerlof, Stiglitz) stresses that information asymmetry can make markets fail, which is why disclosure rules and regulation exist.

Use it today

When you spot a risk that affects clients, partners or your team, tell those who need to know first and talk business later. Over time that is worth more than any one information edge.

Note: The popular tale that Nathan learned of Waterloo first and made a fortune on the London market is a debunked myth. The Jewish Encyclopedia (1905) calls it entirely mythical, and modern historians trace it to an antisemitic French pamphlet of 1846 signed "Satan". This book does not repeat it.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 07 · Information and position

Set up where every road meets

> **Location and routes decide how many customers you can reach; hold the crossing everyone must pass.**



East **Fan Li**

Late Spring and Autumn, Tao

After helping Yue destroy Wu he left office for trade and settled at Tao, a hub open to every state, calling himself Lord Zhu of Tao.

> “朱公以为陶天下之中，诸侯四通，货物所交易也。”
>
> Gist: Lord Zhu judged Tao to be the centre of the world, open to every state, the place where goods changed hands.
>
> Source: Sima Qian, Shiji (Records of the Grand Historian), ch. 129, Biographies of the Money-makers (《史记·货殖列传》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/8UlRoj6NeTk



West **Cornelius Vanderbilt**

1849–1853, the Nicaragua route

During the gold rush he won a Nicaraguan charter for a shortcut via the San Juan river and Lake Nicaragua, and ran a New York to San Francisco line.

> *"In 1849 he got from the Nicaraguan government a charter for a route from Greytown on the Atlantic by the San Juan river and Lake Nicaragua to San Juan del Sur, on the Pacific; and in 1851-1853 by means of this route he conducted a semi-monthly steamship line between New York and San Francisco."*
>
> Source: 1911 Encyclopædia Britannica, 'Vanderbilt, Cornelius' (Vol. 27) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/Pt46tWaET18

An Austrian reading (one lens)

entrepreneurial profit comes from spotting what others missed, such as a shorter route or a better hub; once others follow, competition wears that profit down.

Another view: economic geography (e.g. Krugman) stresses transport costs and clustering, and sees location advantage as largely the product of history.

Use it today

Before choosing a shop, a warehouse or an online channel, ask whether your customers all pass through it. If no such crossing exists, see whether you can open a shorter route yourself.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 08 · Information and position

A rare good worth holding, and its price

> **Backing a scarce opportunity others overlook can pay hugely; backing a ruler often leaves the ending out of your hands.**



East Lü Buwei

Late Warring States, merchant of Yangzhai

In Handan he backed Zichu, a Qin prince held hostage, and spent a fortune promoting him. Zichu became king and Lü became chancellor, but under King Zheng he was driven to take poison.

“吕不韦贾邯郸，见而怜之，曰“此奇货可居”。”

Gist: Trading in Handan, Lü Buwei saw him, pitied him and said: 'This is a rare good worth holding.'

Source: Sima Qian, Shiji, ch. 85, Biography of Lü Buwei (《史记·吕不韦列传》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/Kd3TZvUaSDM



West **Jakob Fugger**

1519–1523, Augsburg

He paid most of the bill for the imperial election of 1519 that made Charles V emperor, and in 1523 wrote to remind him of it.

> *“Es ist auch bekannt und liegt am Tage, dass Eure kaiserliche Majestät die Römische Krone ohne meine Hülfe nicht hätten erlangen können”*
>
> Gist: It is also well known and plain to see that Your Imperial Majesty could not have obtained the Roman crown without my help.
>
> Source: Richard Ehrenberg, Das Zeitalter der Fugger, Bd. 1 (Jena, 1896), Internet Archive OCR · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/BuzoF6j1md0

An Austrian reading (one lens)

money earned through political favour differs from money earned by serving customers. The first depends on power's goodwill and can be taken back when power changes.

Another view: some historians argue that early modern state-building depended on merchant finance, and that such alliances helped develop fiscal institutions.

Use it today

When you spot a scarce opportunity, write down the worst case beside it. If you depend on one big client or patron, decide now what you will do if they turn.

Note: The Fugger letter survives in Early New High German; the quote is Ehrenberg's 1896 modernised German, and our English is a gist.

History and business principles only. Not investment advice of any kind.

III

Resources, credit and organisation

Qing, the widow of Ba / Jakob Fugger · Rishengchang bank / The Medici bank · Rishengchang bank / Henry Ford · Rishengchang and the Shanxi banks / J. P. Morgan · Wu Bingjian (Howqua) / J. P. Morgan

PRINCIPLE 09 · Resources, credit and organisation

Hold the resource no one can take

> **A real moat is a resource others can neither take nor route around.**



East Qing, the widow of Ba

Qin dynasty, Ba and Shu

Her ancestors found a cinnabar mine and kept its profits for generations. She held the business together, and the First Emperor received her as an honoured guest.

> “其先得丹穴，而擅其利数世，家亦不訾。”
>
> Gist: Her forebears found a cinnabar mine and held its profits for several generations; the family wealth was beyond counting.
>
> Source: Sima Qian, Shiji (Records of the Grand Historian), ch. 129, Biographies of the Money-makers (《史记·货殖列传》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/_fZIc-ObEjE



West **Jakob Fugger**

1488, Tyrol

The Fugger brothers lent the Archduke of Tyrol 150,000 florins on condition that, until repaid, the whole silver output of the Schwaz mines came to them at a favourable price.

> *“indem die Brüder Ulrich, Georg und Jakob Fugger dem Erzherzoge 150000 fl, vorstreckten, bis zu deren Rückzahlung ihnen die ganze Silberausbeute der Schwazer Bergwerke zu einem für sie sehr vortheilhaften Preise überwiesen wurde.”*
>
> Gist: The brothers Ulrich, Georg and Jakob Fugger advanced the Archduke 150,000 florins; until it was repaid, the entire silver output of the Schwaz mines was assigned to them at a price very favourable to them.
>
> Source: Richard Ehrenberg, Das Zeitalter der Fugger, Bd. 1 (Jena, 1896), Internet Archive OCR · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/BuzoF6j1md0

An Austrian reading (one lens)

a resource is not wealth until someone organises it to meet demand. A position kept by charter or monopoly, though, is challenged as soon as competition is allowed.

Another view: resource economists note that wealth tied to a single resource is exposed to price swings and to the so-called resource curse.

Use it today

List what you have that others cannot take: a craft, an exclusive channel, a base of loyal customers. Protect it with contracts and real service, not connections.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 10 · Resources, credit and organisation

Spread your credit through a branch network

> **Credit can be copied: the same rules and the same sign, opened in every city that needs them.**



East Rishengchang bank

Qing dynasty, 1820s to 1900s

A dye shop in Pingyao, Shanxi, that switched to remittance in the 1820s, became China's first draft bank and led its trade by the late 19th century.

“设立分号，有二十四处之多，各省几无不有日昇昌招牌。”

Gist: It set up as many as twenty-four branches; there was hardly a province without a Rishengchang sign.

Source: Xu Ke, Qing bai lei chao (Classified Anecdotes of the Qing), Agriculture and Commerce, 1917 (《清稗类钞·农商类》（徐珂，1917）) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/SBmsxD_lXB8



West The Medici bank

15th century, Florence

Giovanni de' Medici kept out of politics, made a fortune in trade, and opened banks in Italy and abroad.

> *"establishing banks in Italy and abroad, which in his successor's hands became the most efficient engines of political power"*
>
> Source: 1911 Encyclopædia Britannica, 'Medici' (by Pasquale Villari) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/6VVdgpJoKNs

An Austrian reading (one lens)

a remittance and deposit network saves the cost and risk of carrying silver, which is real value for customers. The larger the network, the more it relies on strict rules and reserves.

Another view: institutional economists stress the legal environment behind such networks; without legal protection, draft banks had to rely on kinship and home-town ties.

Use it today

Before opening branches or signing agents, write the rules down: how to keep accounts, how to settle, what happens on errors. Only copyable rules make credit copyable.

Medium pairing: the 1911 Britannica we hold does not describe the Medici branch system in detail, so we quote only that Giovanni opened banks in Italy and abroad. The founding date of 1397 comes from modern research.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 11 · Resources, credit and organisation

Give the people who do the work a share

> **Let your key people share the profit and they will treat the business as their own.**



East Rishengchang bank

Qing dynasty, 1820s to 1900s

Investors held capital shares and staff held labour shares. After a few years a promising apprentice received labour shares, and profits were split by share every three years.

> “以此人人各谋其私，不督责而勤，不检制而俭。”
>
> Gist: So everyone worked for his own interest: diligent without being pushed, frugal without being policed.
>
> Source: Xu Ke, Qing bai lei chao (Classified Anecdotes of the Qing), Agriculture and Commerce, 1917 (《清稗类钞·农商类》（徐珂，1917）) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/SBmsxD_lXB8



West Henry Ford

1914, Detroit

In 1914 he introduced a profit-sharing plan paying at least $5 a day and cut the working day from nine hours to eight. Before that, keeping a force of 14,000 had meant hiring about 53,000 a year.

> *"The payment of five dollars a day for an eight-hour day was one of the finest cost-cutting moves we ever made"*
>
> Source: Henry Ford, in collaboration with Samuel Crowther, 'My Life and Work' (Garden City, NY: Doubleday, Page & Co., 1922), Project Gutenberg #7213 · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/YJ17wNLNRto

An Austrian reading (one lens)

a wage is a price. Ford raised pay voluntarily because he had worked out the real cost of turnover; it was an entrepreneur's judgement based on local knowledge, not an outside rule.

Another view: efficiency-wage theory (e.g. Shapiro–Stiglitz) also explains how higher pay cuts turnover; labour historians note that Ford's share came with paternalistic home inspections.

Use it today

Let key people share the profit, with written rules, a fixed settlement cycle and consequences for mistakes. Then count the real cost of turnover; a raise may be cheaper.

Note: Ford's share came with conditions on cleanliness and citizenship, which he himself admitted were paternalistic.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 12 · Resources, credit and organisation

Credit is character first

> **Whom you lend to and work with: look at the person first, the collateral second.**



East **Rishengchang and the Shanxi banks**

Qing dynasty

The Shanxi banks lent on trust rather than deeds and made no secured loans; a clerk caught in the smallest error was dismissed and no other bank would hire him.

“盖山西票号向重信用，不重契据，不做押款，此为各帮所同。”

Gist: The Shanxi draft banks have always valued trust over deeds and made no secured loans; this was common to every group.

Source: Xu Ke, Qing bai lei chao (Classified Anecdotes of the Qing), Agriculture and Commerce, 1917 (《清稗类钞·农商类》（徐珂，1917）) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/SBmsxD_lXB8



West **J. P. Morgan**

1912, US congressional hearing

At the 1912 Money Trust hearings, counsel asked whether commercial credit rested first on money or property. This was his answer, on the record.

> *"Mr. Untermyer. Is not commercial credit based primarily upon money or property? Mr. Morgan. No, sir; the first thing is character. Mr. Untermyer. Before money or property ? Mr. Morgan. Before money or anything else. Money can not buy it."*

Source: Money Trust Investigation, Hearings before a Subcommittee of the House Committee on Banking and Currency, Part 15 (GPO, 1913): testimony of J. Pierpont Morgan, Dec. 19, 1912, Internet Archive OCR (aeu8665.0015.001.umich.edu) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/NpiFyxMdu-g

An Austrian reading (one lens)

credit is a judgement about the future, and the future cannot be fully pledged. A lender really weighs the borrower's plans and conduct, knowledge only the parties themselves can build up.

Another view: the same congressional report found control of money and credit concentrating in a few hands; mainstream finance also stresses collateral and disclosure to reduce reliance on personal judgement.

Use it today

When choosing partners or giving credit, check character and track record before wealth. On your side, every payment made on time builds your own credit.

Note: Lending without security had a cost too: as modern banks rose and the country fell into turmoil, the draft banks declined, and Rishengchang closed in the early Republic.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 13 · Resources, credit and organisation

Back your partners, but know where to stop

> **Covering for partners in a crisis earns lasting trust, but the cover needs limits; you cannot pay for everyone's mistakes.**



East **Wu Bingjian (Howqua)**

Qing dynasty, Canton Co-hong

Head of the Canton Co-hong and the go-between foreign traders trusted most. He was often made to pay his colleagues' debts, and his wealth made him a target for grasping officials.

> *"he was often obliged to pay for debts contracted jointly when his fellow Co-hong members were unable to meet their obligations. Once he is said to have put up a million Spanish dollars for three of his partners."*
>
> Source: Hummel ed., Eminent Chinese of the Ch'ing Period (1943), 'Wu Ping-chien' by Hiromu Momose · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/71iKA1O9EdE



West **J. P. Morgan**

1907, New York

In the 1907 panic he organised a rescue of the Trust Company of America but refused to save the badly run Knickerbocker Trust.

> *“"I've got to stop somewhere," he said. He was willing to let this trust company suffer the consequences of its mismanagement”*
>
> Source: Carl Hovey, The Life Story of J. Pierpont Morgan (New York: Sturgis & Walton, 1911), ch. 'The Panic of 1907' (sympathetic biography), Internet Archive OCR (cu31924002403529) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/NpiFyxMdu-g

An Austrian reading (one lens)

bailing out the badly run teaches people that mistakes cost nothing (moral hazard). Letting bad debts clear within limits moves resources to better managers.

Another view: financial-stability scholars argue that one failure in a panic can trigger a chain of runs, so rule-based rescues can be worth it.

Use it today

In cross-border or multi-party work, make your credit visible: pay on time and help partners through bad patches. Agree in advance how far that help goes.

Note: "Richest man in the world" is a modern media label; the 26 million dollar figure is itself marked "reported" in the source.

History and business principles only. Not investment advice of any kind.

IV

Risk and limits

Hu Xueyan / John Law · Shen Wansan (Shen Xiu) / John D. Rockefeller · Hu Xueyan / Dutch East India Company (VOC)

PRINCIPLE 14 · Risk and limits

When confidence breaks, a run takes one day

> **Scale built on borrowed money and other people's confidence can vanish in a day once rumours start.**



East **Hu Xueyan**

Late Qing dynasty

He ran his Fukang bank on government funds, opened branches north and south and cornered raw silk against foreign buyers. When silk slumped and expected funds were withheld, a run closed the bank within a day.

“风声四播，取存款者云集潮涌，支持不经日而肆闭。”

Gist: As word spread, depositors surged in like a tide; the bank could not hold out a single day before it shut.

Source: Liu Tizhi, Yici lu (Records of Differing Accounts), vol. 2 (刘体智《异辞录》卷二) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/L9EenUOTryQ



West **John Law**

1720, Paris

As notes multiplied, a decree of May 1720 halved the value of notes and shares. It was soon withdrawn, but confidence was gone.

> *"was obliged to consent to a decree (21st May 1720) by which the notes and consequently the shares were reduced to half their nominal value. This created such a commotion that its promoters were forced to recall it, but the mischief was done."*
>
> Source: 1911 Encyclopædia Britannica, 'Law, John' (Vol. 16, by Francis Watt) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/h2YUJ7sRSGw

An Austrian reading (one lens)

funding long, illiquid ventures with short-term borrowing (maturity mismatch) looks fine until everyone wants their money back at once.

Another view: the Diamond–Dybvig model treats runs as self-fulfilling panics that can topple sound institutions, which is a case for deposit insurance.

Use it today

The faster you grow, the more you watch cash flow and the worst case: if your biggest payment came three months late, would you survive?

Note: The Hu Xueyan account comes from Liu Tizhi's Yici lu; the author was the son of the Zhejiang governor and wrote from family knowledge. The Fukang collapse is usually dated to 1883.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 15 · Risk and limits

Grow big enough to rival power and you are at risk

> **Once wealth rivals public power, the biggest risk no longer comes from the market but from power and the rules.**



East Shen Wansan (Shen Xiu)

Early Ming, a rich man of Wuxing

He paid for a third of the Nanjing city wall and then offered to reward the army. The Hongwu emperor wanted him executed; Empress Ma talked him down to exile in Yunnan.

“民富敌国，民自不祥。不祥之民，天将灾之，陛下何诛焉！”

Gist: Empress Ma: a commoner as rich as the state is ill-omened in himself; Heaven will punish such a man, so why should Your Majesty?

Source: Ming shi (History of the Ming), ch. 113, Biography of Empress Ma (《明史·后妃传·太祖孝慈高皇后马氏》（卷113）) · ★ doubtful: largely legend

▶ Video: https://youtu.be/fQouilG2MqA



West **John D. Rockefeller**

1911, US Supreme Court

Standard Oil once controlled most of America's refining capacity. In 1911 the Supreme Court upheld the order under the antitrust law to dissolve the combination.

> *"It commanded the dissolution of the combination ... the delay of thirty days allowed for executing the decree was too short, and should be extended so as to embrace a period of at least six months."*
>
> Source: Standard Oil Co. of New Jersey v. United States, 221 U.S. 1 (1911), Opinion of the Court (White, C.J.), Wikisource · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/WT8eQLsAKBk

An Austrian reading (one lens)

some Austrian-leaning economists argue Standard Oil won mainly on lower costs and that antitrust can punish efficiency. Either way, both cases show that the larger you grow, the more political and legal risk becomes business risk.

Another view: mainstream industrial-organisation economics holds that dominant positions get abused (as with the secret railway rebates Tarbell documented), and that antitrust enforcement protects competition.

Use it today

The bigger the business, the more often you should review policy and regulatory risk. Do not use money to do what belongs to public authority, and do not assume the rules will always favour you.

Medium pairing: Shen faced an emperor's personal will, Standard Oil a court applying the law, which is very different. What they share is that size itself draws the attention of power. The Shen story is ★: the treasure-bowl tales are legend, and the record was written to show Empress Ma's mercy.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 16 · Risk and limits

The books must be true

> **Handing over every ledger when you fall earns more respect than looking solid on false accounts.**



East **Hu Xueyan**

Late Qing, around 1883

After his bank failed, he handed all his property ledgers to the Zhejiang governor and hid nothing.

“光墉将其业产簿据献于文庄，不稍隐匿。在落魄之中，气概光明，曾未少贬抑。”

Gist: Guangyong handed over the deeds and ledgers of all his property, concealing nothing. Ruined as he was, his bearing stayed open and upright.

Source: Liu Tizhi, Yici lu (Records of Differing Accounts), vol. 2 (刘体智《异辞录》卷二) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/L9EenUOTryQ



West Dutch East India Company (VOC)

1602–1799, Amsterdam

Military and political burdens later ate its profits and it was bankrupt at dissolution. Its enemies said its credit held only because it hid the truth and published false accounts.

> *"was bankrupt when it was dissolved in 1798, though its credit remained unshaken, largely, if its enemies are to be believed, because it concealed the truth and published false accounts."*
>
> Source: 1911 Encyclopædia Britannica, 'Dutch East India Company, The' (Vol. 8) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/l5JEkMXuTLo

An Austrian reading (one lens)

Mises saw accounting as the basis of economic calculation. If prices and books are false, managers cannot tell whether they are creating value or eating capital.

Another view: corporate-governance research stresses institutions such as independent audit, disclosure and accountability, rather than relying on one manager's honesty.

Use it today

Reconcile real cash, receivables and payables every month and keep one set of books. When things go wrong, tell creditors and partners the truth first.

Note: Britannica (1911) qualifies the false-accounts charge with "if its enemies are to be believed"; the same sources record the company's violence in the Banda Islands and at Amboyna.

History and business principles only. Not investment advice of any kind.

V

Capital and scale

Zhang Jian / Dutch East India Company (VOC) · Zhang Jian / Henry Ford · Fan Li / Henry Ford · Ji Ran / John D. Rockefeller

PRINCIPLE 17 · Capital and scale

Split a big venture so many can carry it

> **A venture too big for one person can be split into shares of capital and risk that many people carry together.**



East **Zhang Jian**

Late Qing to early Republic, Nantong

A top-ranked scholar who was asked by Viceroy Zhang Zhidong to organise a spinning and weaving mill with a capital of one million taels, and succeeded.

> *"he appointed Chang Chien to organize a spinning and weaving mill, the capitalization of which was Tls. 1,000,000. This mission was carried out with success."*
>
> Source: Who's Who in China, 3rd edition (Shanghai, 1925), 'Chang Chien' · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/vBfkozHTqoY



West Dutch East India Company (VOC)

1602, Amsterdam

The States-General merged the separate East India companies into one and raised about 6.5 million florins by public subscription in shares of 3,000 florins.

> *"A capital estimated variously at a little above and a little under 6,500,000 florins, was raised by national subscription in shares of 3000 florins."*
>
> Source: 1911 Encyclopædia Britannica, 'Dutch East India Company, The' (Vol. 8) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/l5JEkMXuTLo

An Austrian reading (one lens)

joint-stock companies let savers hand capital voluntarily to managers they trust. The clearer the shares and the freer the exit, the more capital flows to long-term projects.

Another view: historians point out that the VOC's success relied on a state-granted monopoly and armed powers, not just on its share structure.

Use it today

Big projects can share risk through partnerships and staged funding. Write down in advance who puts in what, who gets what, and how each can exit.

Medium pairing: Zhang Jian's mill had official sponsorship while the VOC was a state-chartered joint-stock company; what they share is splitting a big venture among many investors.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 18 · Capital and scale

Build along one supply chain

> **Starting from one core product and linking its suppliers and buyers step by step is steadier than scattering into everything.**



East **Zhang Jian**

Late Qing to early Republic, Nantong

After the mill he added a flour mill, an oil mill, iron works, a silk filature and a steamship company, turning his poor home town into a modern industrial town.

> *"Later he organized the Fuhsin Flour Mill, the Kwangsheng Oil Mill, the Tse-sheng Iron Works, the Fousheng Silk Filature, and the Ta Teh Steam Navigation Co."*
>
> Source: Who's Who in China, 3rd edition (Shanghai, 1925), 'Chang Chien' · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/vBfkozHTqoY



West Henry Ford

1920s, Detroit

The River Rouge plant covered 665 acres, had docks for lake ships and coal from Ford's own mines, taking raw material to finished car on one site.

> *"This plant is located on the river on the outskirts of Detroit and the property covers six hundred and sixty-five acres"*
>
> Source: Henry Ford, in collaboration with Samuel Crowther, 'My Life and Work' (Garden City, NY: Doubleday, Page & Co., 1922), Project Gutenberg #7213 · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/YJ17wNLNRto

An Austrian reading (one lens)

Menger saw production as a chain from higher-order goods down to consumer goods. Which links you own is the entrepreneur's judgement about cost and risk.

Another view: Coase and Williamson's transaction-cost theory says make-or-buy depends on the cost of using the market, and over-integration can make a firm rigid.

Use it today

Map your supply chain, find the one or two links that most affect quality and cost, and consider owning or locking them in. Outsource the rest with confidence.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 19 · Capital and scale

Thin margins, high volume

> **Do not chase a fat margin on every sale; bring the price down so many more people can buy.**



East Fan Li

Late Spring and Autumn, Tao

Trading at Tao, he moved goods with the seasons and aimed for a profit of one part in ten; in nineteen years he made a fortune three times.

“候时转物，逐什一之利。”

Gist: He waited for the right time to move his goods and pursued a profit of one tenth.

Source: Sima Qian, Shiji, ch. 41, House of Goujian, King of Yue (《史记·越王勾践世家》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/8UlRoj6NeTk



West Henry Ford

1909–1921, Detroit

The Model T touring car fell from $950 to $355 while yearly output rose from about 19,000 to 1.25 million cars.

“1909-10 $950 18,664 cars… 1913-14 $550 248,307… 1916-17 $360 785,432… 1920-21 $440 to $355 1,250,000”

Source: Henry Ford, in collaboration with Samuel Crowther, 'My Life and Work' (Garden City, NY: Doubleday, Page & Co., 1922), Project Gutenberg #7213 · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/YJ17wNLNRto

An Austrian reading (one lens)

in a competitive market, profit rewards serving customers well. Passing cost savings on to buyers widens the market, and long-run profit need not shrink.

Another view: industrial economists warn that economies of scale can become entry barriers; low prices should come from efficiency, not from shutting rivals out.

Use it today

Work out how much volume must rise to make a price cut pay, and start by lowering costs rather than by cutting prices first.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 20 · Capital and scale

Waste nothing, leave no money idle

> **Keep goods in good order and keep money moving; the scraps others throw away can be profit.**



East **Ji Ran**

Late Spring and Autumn, state of Yue

His rule for stock: keep goods sound and never let money sit idle; do not keep perishables or hoard for a high price.

“积著之理，务完物，无息币。”

Gist: The principle of storing goods: keep them in perfect condition, and let no money lie idle.

Source: Sima Qian, Shiji (Records of the Grand Historian), ch. 129, Biographies of the Money-makers (《史记·货殖列传》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/xh9u-mRDxoc



West **John D. Rockefeller**

1860s–1870s, Cleveland

Early refining was easy to enter and overbuilt, and prices kept falling. His answer was better processes, lower costs, and turning what small plants wasted into by-products.

> *"The price went down and down until the trade was threatened with ruin. It seemed absolutely necessary to extend the market for oil by exporting to foreign countries ... to greatly improve the processes of refining so that oil could be made and sold cheaply, yet with a profit, and to use as by-products all of the materials which in the less-efficient plants were lost or thrown away."*
>
> Source: John D. Rockefeller, Random Reminiscences of Men and Events (New York: Doubleday, Page, 1909), Project Gutenberg #17090 via Internet Archive · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/WT8eQLsAKBk

An Austrian reading (one lens)

capital is a structure that keeps turning over in time. Idle cash and dead stock both quietly bear the cost of time.

Another view: Keynes argued that holding cash in uncertain times (liquidity preference) is rational, not always a waste.

Use it today

Each quarter, review stock and idle equipment and ask: can it still sell, can it become another product, can it be rented out or sold on?

Note: In the same years, his critic Ida Tarbell documented secret railway rebates used against rivals; see principle 15.

History and business principles only. Not investment advice of any kind.

VI

Crisis, wealth and letting go

Lu Zuofu / Nathan Rothschild · Fan Li / Andrew Carnegie · Fan Li / John D. Rockefeller · Bai Gui / Cosimo de' Medici

PRINCIPLE 21 · Crisis, wealth and letting go

In a crisis, execution is what sells

> **In chaos, delivering what you promised on time and in full is worth more than any slogan.**



East **Lu Zuofu**

Republic of China, Minsheng Company

When National Central University moved west in the war, he refitted a deck of a Yangtze steamer for the university's breeding stock; the rest of the herd walked for nearly a year, and all of it reached Chongqing.

“从南京出发到重庆，这些大的牲畜没有死亡一个，还添了一条小牛。”

Gist: From Nanjing to Chongqing not one of the large animals died, and a calf was even born on the way.

Source: Luo Jialun, The Relocation of National Central University during the War of Resistance (memoir) (罗家伦《抗战时期中央大学的迁校》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/T9D3PC-LN78



West Nathan Rothschild

1813–1815, London

In the last years of the Napoleonic Wars the British government used him to remit large sums to its allies and armies on the Continent.

> *"England forwarded to the Continent through him in the three years 1813 to 1815 no less than £15,000,000 sterling"*
>
> Source: Jewish Encyclopedia (1901-1906), Vol. 10 (1905), 'Rothschild' (by Joseph Jacobs), jewishencyclopedia.com transcription · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/YEFU9f-R4RM

An Austrian reading (one lens)

in a crisis price signals blur and risk jumps; the entrepreneur who takes on that uncertainty and gets things done supplies what others cannot.

Another view: others point out that wartime business is usually tied to government contracts and licences, so political ties matter as much as execution.

Use it today

In a crisis, finish what you already promised clients and do it well. Deliver when it is hardest and clients remember you for years.

Medium pairing: the Lu Zuofu story is one concrete eyewitness episode; the Rothschild entry is wartime remittance, different in scale and kind. What they share is delivering in wartime. The Rothschilds have long been the target of antisemitic conspiracy myths; this book quotes only the 1905 Jewish Encyclopedia and the 1911 Britannica.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 22 · Crisis, wealth and letting go

Decide where the money goes

> **Making money is one skill; deciding where it goes is another.**



East **Fan Li**

Late Spring and Autumn, Tao

In nineteen years at Tao he made a fortune three times, and twice gave it away to poor friends and distant kin.

“十九年之中三致千金，再分散与贫交疏昆弟。此所谓富好行其德者也。”

Gist: In nineteen years he three times made a thousand in gold, and twice gave it away to poor friends and distant kin; this is what is meant by the rich who delight in virtue.

Source: Sima Qian, Shiji (Records of the Grand Historian), ch. 129, Biographies of the Money-makers (《史记·货殖列传》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/qVBmIomd8Sk



West **Andrew Carnegie**

1889, Pittsburgh and New York

He wrote the essay 'Wealth' in 1889, built 2,811 libraries and gave away about $350 million in his lifetime.

> *"There are but three modes in which surplus wealth can be disposed of. It can be left to the families of the decedents; or it can be bequeathed for public purposes; or, finally, it can be administered during their lives by its possessors....the millionaire will be but a trustee for the poor...The man who dies thus rich dies disgraced."*
>
> Source: Andrew Carnegie, 'Wealth', North American Review vol. 148 no. 391 (June 1889) — 'The Gospel of Wealth', Wikisource · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/_z3ZMc3S1Wo

An Austrian reading (one lens)

voluntary giving and private foundations belong to civil society and differ from compulsory redistribution; where and how to give is the donor's own judgement and responsibility.

Another view: critics argue that big philanthropy lets a few rich people set public priorities that should be decided through taxes and democratic process.

Use it today

Once the business is stable, set a fixed share to give back to staff, partners or the community, and choose and follow up yourself rather than making one-off gestures.

Note: The Carnegie episode also records the deadly Homestead strike of 1892, for which, by his own account, labour widely held him responsible.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 23 · Crisis, wealth and letting go

Set your exit at the peak

> **At the peak, decide in advance when you will hand over, scale back or move on; do not wait to be forced out.**



East **Fan Li**

Late Spring and Autumn, Yue to Qi to Tao

After helping Yue destroy Wu and becoming supreme general, he judged that great fame could not be held for long, took his portable valuables and sailed away. His colleague Wen Zhong stayed and was later forced to kill himself.

“范蠡以为大名之下，难以久居……乃装其轻宝珠玉，自与其私徒属乘舟浮海以行，终不反。”

Gist: Fan Li judged that it is hard to stay long under a great name… so he packed his light treasures and jewels and put out to sea with his own followers, never to return.

Source: Sima Qian, Shiji, ch. 41, House of Goujian, King of Yue (《史记·越王勾践世家》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/qVBmIomd8Sk



West **John D. Rockefeller**

1895, New York

He retired from active business in 1895 and turned to the University of Chicago and later his foundation, more than a decade before Standard Oil was ordered dissolved.

> *"Rockefeller himself retired from active business in 1895 ... To "the University of Chicago founded by John D. Rockefeller" (in 1892) he had given, up to 1910, $24,809,666"*
>
> Source: 1911 Encyclopædia Britannica, 'Rockefeller, John Davison' (Vol. 23) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/WT8eQLsAKBk

An Austrian reading (one lens)

time preference and goals shift over a lifetime. Stepping back is a reallocation of your scarcest resources, time and attention.

Another view: research on succession warns that founders leaving too early or too late both hurt a firm; what matters is an institutional handover.

Use it today

At your best moment, write down your exit conditions: what level means hand over, which signal means scale back. And start training whoever will take over.

History and business principles only. Not investment advice of any kind.

PRINCIPLE 24 · Crisis, wealth and letting go

Mind the business yourself, and share the work

> **When the owner lives modestly and minds the business, the team takes it seriously; heirs who stop minding it soon lose it.**



East **Bai Gui**

Warring States, time of Marquis Wen of Wei

He ate plainly, curbed his appetites, dressed simply and shared hardship with the servants who did the work; when the moment came he struck like a hawk.

“能薄饮食，忍嗜欲，节衣服，与用事僮仆同苦乐”

Gist: He could live on plain food, curb his desires, dress simply, and share hardship and joy with the servants who did the work.

Source: Sima Qian, Shiji (Records of the Grand Historian), ch. 129, Biographies of the Money-makers (《史记·货殖列传》) · ★★★ primary: official history, own words or official record

▶ Video: https://youtu.be/uLmBWmJJ7sQ



West Cosimo de' Medici

15th century, Florence

Trained by his father for commerce, he minded the business to his dying day. His grandson Lorenzo was far more gifted in letters but neglected the business, and the bank declined.

> *"But his father had mainly trained him to commerce, for which he had a special liking and aptitude. He was devoted to business to the day of his death"*
>
> Source: 1911 Encyclopædia Britannica, 'Medici' (by Pasquale Villari) · ★★ later account: encyclopedia, biography, memoir by others

▶ Video: https://youtu.be/6VVdgpJoKNs

An Austrian reading (one lens)

entrepreneurial judgement cannot be fully delegated. Owners who bear the profit and loss and watch the market themselves catch mistakes in time.

Another view: modern theory of the firm (since Berle and Means) treats the separation of ownership and management as what lets big firms grow.

Use it today

Set aside time every week to see the floor, read the numbers and listen to front-line staff. Do not let your own spending run far ahead of your team's.

Note: Lorenzo's neglect of the business is recorded in the same 1911 Britannica entry.

History and business principles only. Not investment advice of any kind.

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Downloads and Markdown source: https://github.com/SheldonZhuang/merchants-of-east-and-west

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